

promotional purposes, as evidenced by the documentation provided.

3. VALUTAZIONE DELLA SITUAZIONE.

Dalla documentazione acquisita e dalle risposte fornite dalla Società, si evince quanto segue:

- La reclamante ha esercitato il proprio diritto alla cancellazione dei dati, ma ha continuato a ricevere comunicazioni promozionali da parte di Nextus Telecom.
- La Società ha riconosciuto l'esistenza di un bug nel sistema che ha impedito la cancellazione fisica dei dati della reclamante, nonostante le richieste di cancellazione.
- La Società ha successivamente risolto il problema e ha provveduto alla cancellazione manuale della reclamante, garantendo che non riceverà più comunicazioni via SMS.

4. CONCLUSIONI.

Alla luce di quanto sopra, si ritiene che Nextus Telecom S.r.l. abbia violato le disposizioni del Regolamento (UE) 2016/679 e del Codice in materia di protezione dei dati personali, in particolare per quanto riguarda il diritto alla cancellazione dei dati personali. Pertanto, si dispone quanto segue:

- a) Nextus Telecom S.r.l. è tenuta a garantire che non vengano più inviati SMS promozionali alla reclamante e a confermare per iscritto l'avvenuta cancellazione dei dati.
- b) Si invita Nextus Telecom S.r.l. a rivedere e migliorare le proprie procedure interne per garantire che simili problematiche non si ripetano in futuro.
- c) Si riserva di adottare ulteriori misure sanzionatorie qualora dovessero pervenire ulteriori segnalazioni di violazioni da parte della Società.

Il presente provvedimento sarà notificato a Nextus Telecom S.r.l. e pubblicato sul sito web dell'Autorità Garante per la protezione dei dati personali.

Roma, 27 novembre 2024

IL GARANTE PER LA PROTEZIONE DEI DATI PERSONALI

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promotional communications; in particular, producing: 1) "screenshot of the online interface of the website www.ntmobile.com, where both the acknowledgment of the documentation and the expression of consents during the purchase phase of the service by the customer are present"; 2) a copy of the "privacy policy"; 3) "service contract related to the user" of the interested party; 4) "service charter" related to the telephone contract. The Company, in the same note, also clarified that the interested party, by contacting its call center, requested "the deletion of consents to receive notifications from Nextus Telecom."

3. OUTCOMES OF THE PRELIMINARY INVESTIGATION AND POSSIBLE VIOLATIONS DETECTED.

3.1. The nature of the SMS communications complained of by the complainant.

Contrary to what the Company indicated, not all messages received and documented by the complainant can be considered merely 'informative', and therefore as service communications of a contractual nature, which could not have been covered (any longer) by the contractual legal basis (see below para. 3.2, regarding the lack of the necessary legal prerequisite), since the contract has ceased – as of May 15, 2023 – and thus also the status of Customer held by the interested party, due to their request for portability to another operator.

In particular, the SMS attached by the complainant, containing the reference to "the annual promotion Più++ available until September 30 ... on the website ntmobile.it or on the NTMobile APP," certainly has a promotional character. This is also in consideration of the broad concept of 'marketing' adopted by this Authority with the Guidelines of July 4, 2013 regarding promotional activities and combating spam (doc. web no. 2542348; see para. 2.1 "Objective scope of spam"; these guidelines highlight that "marketing" consists of communications for sending advertising material or direct sales or for conducting market research or commercial communication ... carried out, in violation of the provisions of the Code, using automated calling systems without an operator (so-called pre-recorded calls) or with methods similar to the former (such as: email, fax, SMS, MMS). For the purposes of applying the

Code, it is not necessary to send massive and/or simultaneous communications to a plurality of addresses or phone numbers, as such a method is only relevant for qualifying the processing as systematic for the quantification of penalties. This definition can also be considered consolidated at the European level (see Opinion no. 5/2004 regarding unsolicited communications for direct marketing purposes pursuant to Article 13 of Directive 2002/58/EC: "For a definition of marketing/prospecting purposes in recital 30 of Directive 95/46/EC ... it states that: "(...) Member States may specify the conditions under which the communication to third parties of personal data for prospecting purposes may be carried out, whether it concerns the sending of advertising material and the sending of material promoted by an association for charitable purposes or by other associations or foundations, for example of a political nature ...". The Working Group believes that Article 13 of Directive 2002/58/EC consequently covers any form of sales promotion, including direct prospecting carried out by charitable or politically oriented organizations (for example for fundraising, etc.)." A broad definition has also been used in the European code of conduct of FEDMA regarding the use of personal data in direct marketing, approved by the Working Group on June 13, 2003; see opinion 3/2003 of the Working Group regarding the European code of conduct of FEDMA concerning the use of personal data in direct marketing, http://europa.eu.int/comm/internal_market/privacy/docs/wpdocs/2003/wp77_en.pdf. See also the Resolution on the use of personal data for political communication adopted by the 27th International Conference of Data Protection Authorities held in Montreux on September 14-16, 2005, doc. web 1170626, which qualified political propaganda as marketing, always requiring the consent of the interested party).

3.2 Sending automated communications in the absence of a legal basis.

In this regard, it is necessary to distinguish, below, between promotional messages (letter A) and 'informative' messages (letter B).

A) With reference to the first category of messages, the request by the complainant for the deletion of contact data and the consents given at the time of online activation of the telephone contract resulted in the revocation of the consent given. This choice by the interested party should have been correctly recorded (as it appears to have been done), but also concretely respected: this, however, does not appear to be the case in the present instance. Therefore, a possible violation of Article 7 of the Regulation has emerged, specifically with reference to paragraph 3, according to which: "The data subject has the right to withdraw their consent at any time," also in light of the Recitals of the said Regulation (see, in particular, 32 and 40). Due to this revocation, it can be said that the necessary consent for the lawful sending of automated promotional communications (such as: SMS, similarly to email or pre-recorded calls) has ceased, with the possible consequent related violation of Article 130, paragraphs 1 and 2, of the Code.

Furthermore, due to the subsequent lack of the aforementioned necessary consent, the communications...

the contrary), it is evident that the promotional messages in question were deemed lacking a suitable legal basis, as provided for by Article 6, paragraph 1, letter a) of the Regulation.

Regarding the necessity for a correct and timely management of requests for revocation of consent or opposition to processing for marketing purposes, a consolidated orientation of this Authority has been noted, recently reiterated (provision of July 18, 2023, web doc no. 9921112; provision of July 18, 2023, web doc no. 9925674; provision of July 6, 2023, web doc no. 9941250; in the latter, concerning the same topic, references to similar acts of the Authority are cited (provision of August 5, 2022, no. 296, web doc no. 9827135; provision of August 5, 2022, no. 297, web doc no. 9817535; provision of October 20, 2022, no. 349, web doc no. 9827153; provision of December 15, 2022, no. 430, web doc no. 9860553; provision of December 15, 2022, no. 431, web doc no. 9856345; provision of March 9, 2023, no. 71, web doc no. 9880336).

B) With reference to the 'informative' messages following the termination of the contract, these too are found to be devoid of a valid legal basis, as they are no longer supported by the premise of the contract, which ceased with the occurrence of portability; such processing (consisting of sending informative messages after May 15, 2023) therefore appears to be in possible conflict with Article 6,

paragraph 1, letter b) of the Regulation.

3.3. The alleged causal factor.

Regarding the causal factor (computer bug, which is not adequately substantiated and lacks documentary evidence) indicated by Nextus to justify the incorrect handling of the complainant's request, it should be highlighted that the causal factor in question cannot be qualified as a suitable exemption concerning the responsibilities for the alleged violations against the Company, but may only be relevant for the qualification, as intentional or negligent, of the same (cf. Article 83, § 2, letter b) of the Regulation).

That said, summarizing, the prerequisites for the violation of Articles: 6, paragraph 1, letters a) and b); 7, paragraph 3, of the Regulation; as well as 130, paragraphs 1 and 2, of the Code, have thus been identified against the Company. Therefore, with a notification act dated June 28, 2024, the Office initiated, pursuant to Article 166, paragraph 5, of the Code, a procedure for the possible adoption, against the same Company, of the measures referred to in Article 58, paragraph 2, of the Regulation.

4. THE DEFENSIVE MEMORANDUM OF THE COMPANY.

The Company, with the memorandum of July 26, 2024, first reiterated, further specifying, that:

- following the complainant's request, concerning the outgoing portability, its CRM system, upon intervention by the call center contacted inbound by the complainant, automatically deleted the customer, as per internal procedure;
- "the deletion of the disputed customer data can be easily inferred from the screenshot of the CRM system, as per Figure no. 1 submitted with the initial memoranda, from which it appears that, as a result of the inquiry of the personal data of Ms. XX based on the phone number, no evidence of any personal data is found."

Nextus thus represented that no denial, much less an unjustified one, of the requests for exercising the rights of the interested party can be attributed to it, also highlighting that:

- its technical department, analyzing potential issues, "found a bug in the system that did not execute the physical deletion of the record in the Database and therefore the system continued to send the SMS, merely informative, by default. The issue, once brought to Nextus's attention, was immediately resolved, proceeding with the manual deletion of the customer from the aforementioned system.";
- "In this regard, let us take note of the internal emails sent for the prompt resolution of the problem, with physical deletion in the database of the Customer's number and verification of any other anomalies concerning other customers, which highlighted the absence of other issues";
- in its opinion, "the contested computer bug, contrary to what was believed by the (Authority), has already been adequately described and documented in the first and second defensive memoranda."

Therefore, according to Nextus, in this case, there has been no violation of the current regulations; and, however, if such a violation were to be found by the Authority, "... it cannot be considered serious nor long-lasting, since the personal data was immediately deleted from the system as soon as portability occurred, while the reported service disruption was resolved within a few days of identifying the issues." and "must necessarily be considered non-intentional";

Furthermore, according to the Company's assertions, "... Ms. XX is the only customer affected by the alleged service disruption; ii) "no other customers have ever contested the violations in question"; moreover "... Nextus has not received any financial benefit from the alleged violation, but rather each SMS incurred a cost for it ...".

5. LEGAL EVALUATIONS OF THE AUTHORITY.

The defenses presented by Nextus are not sufficient to overcome the objections raised in the notice of June 28 of this year, thus it is necessary to confirm the corresponding violations, also in light of the previous provisions of the Guarantor, as specified above. In particular:

A) with reference to the aforementioned promotional message (documented by the complainant and regarding which the Company has said nothing in its notes to the contrary), it is evident that...

****Request for Deletion of Contact Data and Consents****

The request by the complainant for the deletion of contact data and the consents given during the online activation of the telephone contract has resulted in the revocation of the consent provided. The choice of the data subject, although correctly recorded (as it appears to have been done), should have also been concretely respected; however, in this specific case, it does not appear that this occurred. Therefore, the violation of Article 7, paragraph 3, of the Regulation must be confirmed. Due to the aforementioned revocation made by the data subject, the necessary consent for the lawful sending of automated promotional communications (such as SMS) has ceased, resulting in a related violation of Article 130, paragraphs 1 and 2, of the Code. Furthermore, due to the subsequent lack of the aforementioned necessary consent, the promotional communication in question must be considered lacking a suitable legal basis, as provided for by Article 6, paragraph 1, letter a), of the Regulation.

****B)** With reference to the 'informative' messages following the termination of the contract, these too are found to be devoid of a valid legal basis, as they are no longer supported by the premise of the contract, which has ceased with the portability; such processing (consisting of sending informative messages after May 15, 2023) is therefore in conflict with Article 6, paragraph 1, letter b), of the Regulation.******

****C)** The alleged causal factor.******

The alleged causal factor (software bug) - despite the further defenses formulated by the Company in the aforementioned memorandum of July 26 - remains inadequately specified and lacking documentary evidence. In fact, it is represented that, with this wording, the Company has indicated a concept with rather vague and generic terms, which can be framed as any error in the writing of a source code that generates anomalies in its execution or result. Indeed, in general terms, the code through which any application program is written and implemented, while maintaining syntactic correctness – that is, respecting the rules of composition of the programming language used – may still present semantic errors that result in the application and/or program being formally correct but failing to execute the intended operations correctly. The effects of a bug can manifest in various forms and natures, from the more easily identifiable – such as an unexpected interruption, known as a crash, of the program or the systematic return of an illegitimate result – to others that are more complex to identify and may easily escape even functionality tests and inspections that, no matter how thorough and detailed, can only be based on a statistical sampling of possible usage cases.

In this specific case, to evaluate whether the presence of the aforementioned bug in the software is justifiable or not, more technical details regarding the nature and concrete dynamics of the bug itself would be necessary, explaining why the cancellation procedure did not succeed for the complainant's number (and not for the numbers of other customers) and without raising alarms or other warnings related to the failure of the cancellation operation. However, even in the defense memorandum, Nextus did not provide these elements, thus demonstrating inadequate accountability (Articles 5, paragraph 2, and 24 of the Regulation). That said, it must be reiterated that the alleged causal factor attributable to a software bug cannot constitute a suitable exemption from liability concerning the violations contested against the Company, but may only be relevant for the qualification of the same violations as negligent. In this regard, it should be emphasized that such conduct by the Company significantly contrasts with what can be read on its website (based on access made by the Office, most recently on October 31), where it defines itself as a "leader in the telecommunications services sector," emphasizing that it "exceeds industry standards with its leading telecommunications technology, in terms of quality and support." Moreover, it does not appear that Nextus has adjusted its conduct even during the investigation.

At the same time, it should be noted that, following the online assessment conducted by this Authority on November 3, it emerged that the corporate website <https://nextustelecom.com/> was no longer accessible. Specifically, the current situation of the Company cannot be overlooked, which, based on information available on various web portals regarding telecommunications services, announced, through a press release published on the said website on October 13, that it had suspended - due to economic difficulties in maintaining relationships with its service providers - the sale and provision of telephone and Internet services at the national level, inviting its customers to switch to other telephone

operators. This, on one hand, leads to a less stringent evaluation of the matter subject to investigation for the purpose of determining the amount of an administrative monetary fine, taking into account the current particular operational and economic condition of Nextus. On the other hand, however, the partially changed factual framework highlights the necessity for the Company to ensure - precisely in this delicate phase (of transitioning the data subjects to another operator, with the consequent need to minimize the processing of their data for residual purposes, such as: administrative, accounting, and tax) - the timely and effective exercise of the rights of the data subjects.

interested parties.

It is therefore deemed necessary, pursuant to Article 58, paragraph 2, letter d), of the Regulation, to order the same Company to adopt appropriate technical and organizational measures to ensure the timely and effective exercise of the rights recognized to the interested parties by Articles 15-22 of the Regulation.

Finally, with regard to the treatments already carried out and considering the violations established above, it is believed that the conditions exist for the application of an administrative pecuniary sanction, pursuant to Articles 58, paragraph 2, letter i) and 83, paragraphs 3 and 5, of the Regulation.

6. CONCLUSIONS.

Based on the above, it is deemed established the responsibility of Nextus, with specific reference to the violation of Articles: 6, paragraph 1, letters a) and b); 7, paragraph 3, of the Regulation; as well as 130, paragraphs 1 and 2, of the Code; it is therefore deemed necessary, against the same Company:

- pursuant to Article 58, paragraph 2, letter d), of the Regulation, to order the adoption of appropriate technical and organizational measures to ensure the timely and effective exercise of the rights recognized to the interested parties pursuant to Articles 15-22 of the Regulation;
- pursuant to Article 157 of the Code, to order the communication to the Authority, within 30 days from the notification of this provision, of the initiatives undertaken in order to implement the imposed order;
- pursuant to Articles 58, paragraph 2, letter i) and 83, paragraphs 3 and 5, of the Regulation, to apply an administrative pecuniary sanction.

7. ORDER FOR THE APPLICATION OF THE ADMINISTRATIVE PECUNIARY SANCTION.

The violations indicated above require the adoption of an order for injunction, pursuant to Articles 166, paragraph 7, of the Code and 18 of Law No. 689/1981, for the application against Nextus of the administrative pecuniary sanction provided for by Article 83, paragraphs 3 and 5, of the Regulation (payment of an amount up to €20,000,000.00 or, for companies, up to 4% of the annual global turnover of the previous financial year, if higher).

For the determination of the amount of the sanction, which must "in any case [be] effective, proportionate and dissuasive" (Article 83, paragraph 1), it is necessary to take into account the elements indicated in Article 83, paragraph 2, of the Regulation.

As aggravating circumstances, it is deemed necessary to consider:

- 1) the negligent nature of the conduct, whose disvalue must be considered greater than in similar cases, given the high technological level of the services offered by the Company (see paragraph 5 of this provision), which should have allowed it to acquire a sufficient background of experience and competence to adopt measures capable of avoiding the problem that occurred as well as to understand, and be able to explain to this Authority, the concrete dynamics of the alleged bug (Article 83, paragraph 2, letter a), of the Regulation);
- 2) without prejudice to the proven manual deletion of the data of the interested party, the failure to adopt, as far as in the records - not even during the investigation carried out by the Authority - organizational and technical measures suitable to ensure the timely and effective reception of the rights of the interested parties pursuant to Articles 15-22 of the Regulation (Article 83, paragraph 2, letter c), of the Regulation).

As mitigating elements, it is deemed necessary to take into account:

- 1) the category of personal data subject to violation which only concerned contact data (specifically: the telephone number), moreover in relation, as far as in the records, to the sole complainant (Article 83, paragraph 2, letters a) and g), of the Regulation);
- 2) the contractual and non-promotional content, except for one, of the automated communications in

question (Article 83, paragraph 2, letter a), of the Regulation);

3) the negligent, and not willful, nature of the violation (Article 83, paragraph 2, letter b), of the Regulation);

4) the absence of similar reports and complaints received by this Authority against the Company; as well as the absence of previous corrective and/or sanctioning measures against the same data controller; (Article 83, paragraph 2, letters e) and i), of the Regulation);

5) the current situation of the Company, which, based on the information found (see press release published on the company's website), would have interrupted - due to economic difficulties in maintaining the relationship with its service providers - the sale and provision of telephone and Internet services at the national level (Article 83, paragraph 2, letter k, of the Regulation).

Based on the overall elements indicated above, in application of the aforementioned principles of effectiveness, proportionality, and dissuasiveness referred to in Article 83, paragraph 1, of the Regulation, also taking into account the necessary balance between the rights of the interested parties and the freedom of enterprise, also in order to limit the economic impact of the sanction on the organizational, functional, and employment needs of the Company, it is deemed that an administrative sanction of payment of an amount of €5,000.00 (five thousand/00) should be applied to Nextus.

In the case at hand, it is also deemed that the accessory sanction of publication on the website of the Guarantor of this provision, provided for by Article 166, paragraph 7, of the Code and by Article 16 of the Guarantor Regulation No. 1/2019, should be applied.

In implementation of the principles referred to in Article 83 of the Regulation, the imposition of this accessory sanction appears proportionate due to the insufficient representation - not even in the context of

****Defensive Memorandum - to the Authority regarding what occurred in relation to the failure to effectively delete the claimant's data, in violation of the fundamental right of the interested party to the correct use of their data; this, moreover, with the consequent impossibility for the Authority to assess the actual extent of the alleged IT bug. These two circumstances, together with the failure to adopt - despite the initiation of a specific preliminary investigation by this Authority - subsequent interventions aimed at reviewing the existing corporate procedure to avoid similar issues, demonstrate a culpable and ongoing negligence by Nextus in managing the rights of the interested parties.****

****Finally, the prerequisites of Article 17 of Regulation No. 1/2019 concerning internal procedures with external relevance, aimed at carrying out the tasks and exercising the powers delegated to the Guarantor, for the annotation of the violations identified herein in the internal register of the Authority, as provided for by Article 57, paragraph 1, letter u), of the Regulation, are met.****

****ALL OF THE ABOVE CONSIDERED, THE GUARANTOR declares, pursuant to Article 57, paragraph 1, letter f) of the Regulation, against Nextus Telecom s.r.l., based in Rome, Viale Giulio Cesare No. 2, VAT number: 13286701001 - in the person of the legal representative pro tempore - the unlawfulness of the conduct, in the terms described in the motivation; and, consequently, against the same Company:****

****a)**** pursuant to Article 58, paragraph 2, letter d), of the Regulation, orders the Company to bring its processing into compliance with the provisions of the Regulation by adopting appropriate technical and organizational measures to ensure the timely and effective exercise of the requests made by the interested parties pursuant to Articles 15-22 of the Regulation;

****b)**** pursuant to Article 157 of the Code, orders the Company to communicate to the Authority, within 30 days from the notification of this provision, the initiatives undertaken in order to implement the order imposed in the previous letter; any failure to comply with the provisions of this point may result in the application of the administrative pecuniary sanction provided for by Article 83, paragraph 5, of the Regulation;

****ORDERS****

pursuant to Article 58, paragraph 2, letter i), of the Regulation, Nextus Telecom s.r.l., in the person of its legal representative, to pay the sum of €5,000.00 (five thousand/00), as an administrative pecuniary sanction for the violations indicated in the motivation; it is noted that the offender, pursuant to Article

166, paragraph 8, of the Code, has the option to settle the dispute by payment, within 30 days, of an amount equal to half of the imposed sanction;

****ORDERS****

the aforementioned Company, in the event of failure to settle the dispute pursuant to Article 166, paragraph 8, of the Code, to pay the sum of €5,000.00 (five thousand/00), according to the methods indicated in the attachment, within 30 days from the notification of this provision, under penalty of the adoption of subsequent enforcement actions pursuant to Article 27 of Law No. 689/1981;

****DISPOSES****

a) pursuant to Article 166, paragraph 7, of the Code, the full publication of this injunction order on the Guarantor's website;

b) pursuant to Article 17 of the Guarantor Regulation No. 1/2019, the annotation in the internal register of the Authority, as provided for by Article 57, paragraph 1, letter u) of the Regulation, of the violations and the measures adopted;

c) the publication of this provision pursuant to Articles 154-bis of the Code and 37 of the aforementioned Regulation No. 1/2019.

****Pursuant to Article 78 of Regulation (EU) 2016/679, as well as Articles 152 of the Code and 10 of Legislative Decree No. 150 of September 1, 2011, an appeal against this provision may be filed with the ordinary judicial authority, with a petition submitted to the ordinary court of the place where the data controller resides, or, alternatively, to the court of the place of residence of the interested party, within thirty days from the date of communication of this provision, or sixty days if the appellant resides abroad.****

****Rome, November 27, 2024****

****THE PRESIDENT****

Stanzione

****THE REPORTER****

Ghiglia

****THE SECRETARY GENERAL****

Mattei